

Number 16 *of* 1994

HEALTH INSURANCE ACT 1994

REVISED

Updated to 29 September 2022

This Revised Act is an administrative consolidation of the *Health Insurance Act 1994*. It is prepared by the Law Reform Commission in accordance with its function under the *Law Reform Commission Act 1975* (3/1975) to keep the law under review and to undertake revision and consolidation of statute law.

All Acts up to and including the *Electoral Reform Act 2022* (30/2022), enacted 25 July 2022, and all statutory instruments up to and including the *Health Insurance Act 1994 (Section 11E(2)) Regulations 2022* (S.I. No. 553 of 2022), made 29 September 2022, were considered in the preparation of this Revised Act.

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AN ACT TO REGULATE FURTHER, IN THE INTERESTS OF THE COMMON GOOD, THE PROVISION OF VOLUNTARY HEALTH INSURANCE SO AS TO PROVIDE, *INTER ALIA*, FOR THE ESTABLISHMENT OF THE HEALTH INSURANCE AUTHORITY, FOR THE ESTABLISHMENT OF SCHEMES FOR THE EQUALISATION OF RISKS BETWEEN HEALTH BENEFITS UNDERTAKINGS, FOR A MINIMUM RANGE OF COVER UNDER SUCH INSURANCE, FOR UNIFORMITY OF THE PREMIUMS CHARGED BY EACH PARTICULAR SUCH UNDERTAKING IN RESPECT OF SPECIFIED RANGES OF SUCH COVER AND FOR THE ESTABLISHMENT OF A REGISTER OF SUCH UNDERTAKINGS AND TO PROVIDE FOR RELATED MATTERS. [30*th June*, 1994]

BE IT ENACTED BY THE OIREACHTAS AS FOLLOWS:

PART I

Preliminary and General

Short title and commencement.

1. — (1) This Act may be cited as the Health Insurance Act, 1994.

(2) F1[This Act] shall come into operation on such day or days as the Minister shall fix by order or orders either generally or with reference to any particular purpose or provision and different days may be so fixed for different purposes and different provisions.

F2[Principal objective of Minister and Authority in performing respective functions under Act.

1A. — F3[(1) The principal objective of this Act is to ensure that, in the interests of the common good and across the health insurance market, access to health insurance cover is available to consumers of health services with no differentiation made between them (whether effected by risk equalisation credits or stamp duty measures or other measures, or any combination thereof), in particular as regards the costs of health services, based in whole or in part on the health risk status, age or sex of, or frequency of provision of health services to, any such consumers or any class of such consumers, and taking into particular account for the purposes of that objective—

(*a*) the fact that the health needs of consumers of health services increase as they become less healthy, including as they approach and enter old age,

(*b*) the desirability of ensuring, in the interests of societal and intergenerational solidarity, and regardless of the health risk status or age of, or frequency of provision of health services to, any particular generation (or part thereof), that the burden of the costs of health services be shared by insured persons

F137**[**Section 7F.**]**

F136**[**SCHEDULE 2

EUROPEAN UNION FRAMEWORK FOR STATE AID IN THE FORM OF PUBLIC SERVICE COMPENSATION (2011) (2012/C8/03)

(Text with EEA relevance)

2012/C 8/03

1. PURPOSE AND SCOPE

1. For certain services of general economic interest (SGEIs) to operate on the basis of principles and under conditions that enable them to fulfil their missions, financial support from the public authorities may prove necessary where revenues accruing from the provision of the service do not allow the costs resulting from the public service obligation to be covered.

2. It follows from the case-law of the Court of Justice of the European Union [1] that public service compensation does not constitute State aid within the meaning of Article 107(1) of the Treaty on the Functioning of the European Union if it fulfils a certain number of conditions [2]. Where those conditions are met, Article 108 of the Treaty does not apply.

3. Where public service compensation does not meet those conditions, and to the extent the general criteria for the applicability of Article 107(1) of the Treaty are satisfied, such compensation constitutes State aid and is subject to Articles 106, 107 and 108 of the Treaty.

4. In its Communication on the application of the European Union State aid rules to compensation granted for the provision of services of general economic interest [3], the Commission has clarified the conditions under which public service compensation is to be regarded as State aid. Furthermore, in its Commission Regulation on the application of Articles 107 and 108 of the Treaty on the Functioning of the European Union to de minimis aid granted to undertakings providing services of general economic interest [4], the Commission will set out the conditions under which small amounts of public service compensation should be deemed not to affect trade between Member States and/or not to distort or threaten to distort competition. In those circumstances, compensation is not caught by Article 107(1) of the Treaty and consequently does not fall under the notification procedure provided for in Article 108(3) of the Treaty.

5. Article 106(2) of the Treaty provides the legal basis for assessing the compatibility of State aid for SGEIs. It states that undertakings entrusted with the operation of SGEIs or having the character of a revenue-producing monopoly are subject to the rules contained in the Treaty, in particular to the rules on competition. However, Article 106(2) of the Treaty provides for an exception from the rules contained in the Treaty insofar as the application of the competition rules would obstruct, in law or in fact, the performance of the tasks assigned. This exception only applies where the development of trade is not affected to such an extent as would be contrary to the interests of the Union.

6. Commission Decision 2012/21/EU [5] on the application of Article 106(2) of the Treaty on the Functioning of the European Union to State aid in the form of public service compensation granted to certain undertakings entrusted with the operation of services of general economic interest [6] lays down the conditions under which certain types of public service compensation are to be regarded as compatible with the internal market pursuant to Article 106(2) of the Treaty and exempt from the requirement of prior notification under Article 108(3) of the Treaty.